PUBLIC STORAGE PSA.PP

October 06, 2026 - 11:12pm EST
by blaueskobalt

			2026	2027
Price:	14.00	EPS	0	0
Shares Out. (in M):	185	P/E	0	0
Market Cap (in $M):	2,800	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

I invest primarily in REITs and other real estate/infrastructure-related securities. As part of that mandate, I closely follow REIT preferred equities, and I have done so for a dozen years. These are typically not attractive but for two situations, which can offer exceptional risk-adjusted returns: (1) a massive, market-wide liquidity shock causes them to all trade down sharply (this occurred in March 2020 and, to a lesser extent, in late 2016 & late 2018); or (2) M&A/corporate action. I have previously written up several instances of the second scenario.

Recently, the yields on the PSA prefs have blown out, presenting a new, third type of opportunity. For those who are unfamiliar, PSA is possibly the best credit of all REITs: $50bn+ equity market cap; <4 turns of leverage; <20% LTV; single-A rated. They have $4.4bn of prefs, at par, which is only one additional turn on EBITDA. These prefs have long traded at the tightest yields of the cohort, and they comprise ~25% of the REIT pref market (~$10mn ADV for the PSA prefs). Most consider this to be the bedrock of the REIT preferred market with no credit risk. I have long considered them to be uninvestable: never enough yield - but nice to have as an easy benchmark to comp against!

These are now trading at 7.2% cash yields (a bit higher on an apples-to-apples basis, as REIT preferred dividends get slighly better tax treatment than interest income) and 55 cents on the dollar. This cash yield is far greater than we have seen since the GFC. The spread versus treasuries and PSA bonds is wider than normal, though not at a crazy extreme. It is trading wide of a number of other REIT prefs (e.g., SHO, KIM, REG, REXR, FRT, DLR, AMH), which is historically abnormal and I attribute to rate-related flows (the PSA prefs are the most liquid).

A key feature of REIT preferreds - and one that has made these PSA prefs unattractive for so long - is the rate-risk asymmetry. These are perpectual, constant-coupon securities, but the issuer has the right to call them at par at any time five years or more after issuance; and the holder has no symmetric put rights. This means that - at 100 (or 90) cents on the dollar - the interest rate risk is unfavorably asymmetric to the holder; however, at 55 cents on the dollar, this asymmetry effectively goes away.

Moreover, the asymmetry flips at these levels. If treasuries were to blow out another 300bps(!) and PSA-P were to de-rate, point-for-point, it would fall $4ps ($3ps net of one years' coupon). Yet, PSA-P was trading just under 80 cents on the dollar (+$6ps net) when the 10-year was in the high-3% level. In other words, -20% if rates rise 300bps versus +40% if rates fall 150bps. Finally, one must consider the perspecitve of the issuer, for whom the asymmetry of this situation is glaring. PSA has $4.4bn of outstanding preferreds at par; this is <$3bn at market. The accretion they would realize through the buy-in of these prefs on the open market is *substantial and risk-free* for them: if they were to issue 20-year debt to buy in half their prefs at market, they would generate gain-on-sale equal to 1.5% of NAV plus 50bps of run-rate AFFO accretion, while their leverage would increase from 3.4x to 3.8x. This asymmetry only increases as the prefs continue to fall.

In summary, the PSA-P prefs offer a 7%+ cash yield and trade at 55 cents on the dollar. They carry minimal credit risk, theoretical upside of ~85%, and favorably asymmetric credit risk, due to their structure and the incentives of the issuer.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

falling rates or buybacks

Messages

No messages